

Choosing the Right Investments

If you have a traditional pension plan, your employer makes all the investment decisions for you. With most other retirement plans, you're in the driver's seat. By now, you should have a basic understanding of the investment options that are probably available in your retirement plan: stocks, bonds, mutual funds, cash equivalents, and maybe your employers' stock. Putting all your funds in one type of investment increases your risk of loss if that investment doesn't perform well, so spread your funds out over several types of investments.

Stocks, Bonds, and Mutual Funds

Because retirement earnings grow tax deferred and you have many years before you'll make withdrawals, retirement plans are best suited for your most aggressive investing, which means stocks and mutual funds. Don't make the mistake of putting all your money in money market funds or guaranteed investment contracts (GICs) unless you have a good reason to do so (for instance, if you know you're going to cash out and spend the money within a few years). Diversify your portfolio to balance risk and reward and you should come out far ahead in the long term. This doesn't mean you shouldn't choose your investments carefully. If 80 percent of your retirement funds are in stock mutual funds, most of it should be in well-established funds with a history of solid performance. If you want to get aggressive with some of your money, you can place a small percentage of your stock investments in higher-risk funds.

Lifestyle, Lifecycle, and Asset Allocation Funds

Most retirement accounts these days offer a prepackaged option so that you don't have to select investments and build your own portfolio. Instead, you use a model portfolio designed by an investment company. For most people, this is the way to go. These portfolios are generally diversified among large, medium, and small companies within the United States and